

EXPANDING TEXAS' UTILIZATION OF FOSTER YOUTH TO INDEPENDENCE (FYI) VOUCHERS

A small state investment in supportive services can leverage significant federal rental support for foster youth to prevent and resolve homelessness.

The Foster Care to Homelessness Pipeline

Across the country, youth aging out of foster care face extreme housing instability and far too often fall into homelessness. National research has found that nearly half of foster youth experienced homelessness at least once before they turned 26.¹ In Texas, one-third of youth who age out of foster care experience homelessness before turning 21.²

HUD's Foster Youth to Independence (FYI) Program Is Helping Solve This Issue

The Melania Trump Foster Youth to Independence (FYI) initiative, launched during President Trump's first term, provides housing choice vouchers to young people ages 18–24 as they transition out of foster care into independence. FYI vouchers provide up to 36 months of rental support, helping young adults build stability and move toward self-sufficiency. Importantly, the First Lady has protected and increased the annual FYI appropriation in the Congressional Budget process.

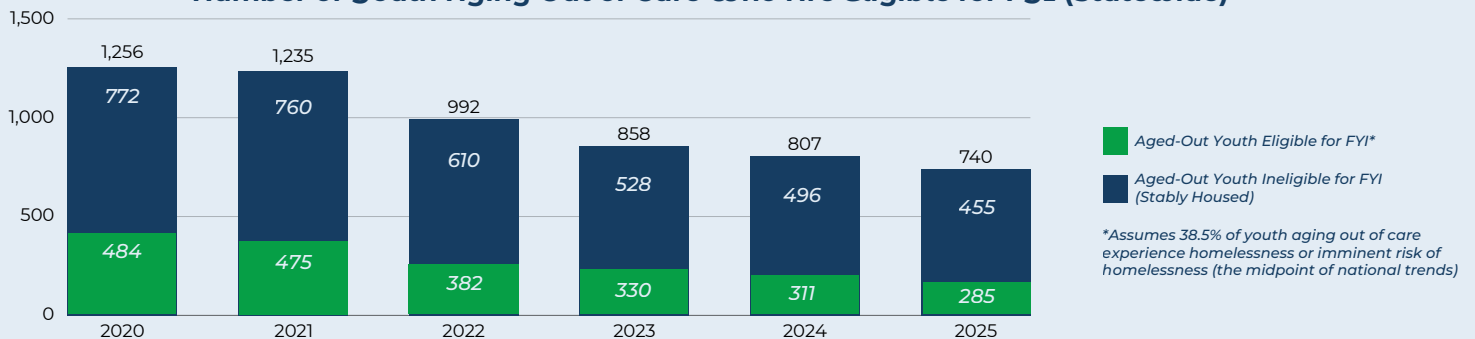
However, federal FYI regulations require child welfare agencies to pair each voucher with supportive services—without providing funding for those services. This unfunded mandate creates a significant barrier to fully utilizing the program and drawing enough vouchers to meet the need across the state. While Texas has successfully expanded its FYI implementation from roughly 40 to nearly 650 vouchers in just five years, dedicated funding for supportive services is essential to ensure no young person exits foster care to homelessness.

The Scope of the Need

Each year, more than 700 youth age out of foster care in Texas. Between 2020 and 2025, this number ranged from 740 to 1,256, for a total of 5,888 youth.³ Based on national trends, up to 46% of these youth will experience homelessness by the age of 26, with approximately 12% of youth transitioning out of care and directly into homelessness.⁴

Currently, there are 641 FYI vouchers allocated to Texas, but only 75% are currently in use. Accounting for the vouchers that are already utilized, an estimated 1,859 aged-out youth in Texas are eligible for an FYI voucher. Ensuring that aged-out youth experiencing homelessness or housing instability have access to supportive services until their 25th birthday would allow all eligible youth to access available FYI vouchers.

Number of Youth Aging Out of Care Who Are Eligible for FYI (Statewide)



¹ Dworsky, A., Napolitano, L., & Courtney, M. E. (2013). Homelessness during the transition from foster care to adulthood. *American Journal of Public Health*, 103(52), S318–S323. Retrieved from: <https://pubmed.ncbi.nlm.nih.gov/24148065/>

² Anne E. Casey Foundation & KIDS COUNT Data Center. (2020). Youth transitioning out of foster care: Experienced homelessness in the past two years. Retrieved from: <https://datacenter.aecf.org/data/tables/10857-youth-transitioning-out-of-foster-care-experienced-homelessness-in-the-past-two-years#detailed/1/any/false/1698,1697/6259,6260,6261,6262/21107,21108>

³ Texas Department of Family & Protective Services. Agency Data Warehouse: Demographics of Children No Longer in DFPS Responsibility. Retrieved from: https://databook.dfps.texas.gov/views/cps_pp_20_dfps/monthlysummary

⁴ Tyrell, F. A., & Yates, T. M. (2017). A growth curve analysis of housing quality among transition-aged foster youth. *Child & Youth Care Forum*, 46(1), 91117. <https://doi.org/10.1007/s10566-016-9370-1>

How it Would Work

Supportive services would focus on:

- 1. **Housing navigation:** Apartment search, landlord engagement, application and inspection support.
- 2. **Case management:** Weekly check-ins (at minimum), lease compliance support, crisis resolution, service and resource coordination, financial planning, and stabilization during moves or transitions.
- 3. **Tenancy stabilization:** Eviction prevention, landlord mediation, and move-in support.
- 4. **Transition planning:** Savings and credit repair, and connection to community supports and resources.

Policy Requests

To ensure eligible youth can access this critical resource, the Texas Legislature should consider the following policy changes:

- Expanding access to supportive services for youth up to age 25 who are literally homeless, imminently at risk of homelessness, or assigned an FYI voucher, with the opportunity to extend services beyond their 25th birthday for youth with an assigned FYI voucher;
- Formally incorporating FYI vouchers into the Preparation for Adult Living curriculum to ensure that all youth preparing to age out of care are aware of this resource;
- Strengthening transition planning to formalize early planning and systematically identify housing resources for each exiting youth, and
- Investing in a statewide system to track demand for (and deployment and utilization of) FYI vouchers

Budget Request

The Texas Legislature should consider a budget request that includes \$9,712,500 in 2027-28 to support services for 925 youth, followed by \$16.65 million in 2028-29 to scale services to an additional 925 youth, to cover the supportive service requirement for the FYI program. This would serve 1,850 youth (the midpoint of the range for the estimated unmet need), enabling eligible youth to successfully access these vouchers and receive the resources necessary to achieve housing stability and self-sufficiency.

	Youth Served	Amount/Youth	Total
Year 1	925	\$7,500 annual support services + \$3,000 one-time housing navigation expenses for youth enrolled in Year 1	\$9,712,500
Year 2	1850 (925 youth from Year 1 + 925 additional youth)	\$7,500 annual support services for youth enrolled in Years 1 & 2 + \$3,000 one-time housing navigation expenses for youth enrolled in Year 2	\$16,650,000

The Cost of Inaction

Youth aging out of foster care are at a greater risk of experiencing homelessness and housing instability in early adulthood which, in turn, increases the risk of adult chronic homelessness. The year-over-year cost of inaction is substantial, with annual per-capita spending for each unhoused individual totaling \$43,901.⁵ That is roughly \$30,000 more per person than the \$10,500 needed to ensure foster youth receive housing and supportive services to avoid homelessness.

A Targeted Investment with Immediate Impact

A relatively modest state investment in supportive services—paired with targeted policy changes to strengthen access, awareness, and coordination—would unlock the full potential of FYI vouchers. These efforts would ensure that young people leaving foster care can reliably access and sustain stable housing, while allowing Texas to make better use of federal dollars already available. By closing these gaps, the state can shift from responding to homelessness after the fact to preventing it at a critical moment of transition.

⁵ Dadpay, A., & Huang, P. (2024). The cost of homelessness in Dallas & Collin Counties. Dallas County Health and Human Services. Retrieved from: <https://www.dallascounty.org/Assets/uploads/docs/hhs/data-reports/The-Cost-of-Homelessness-in-Dallas-and-Collin-Cos.pdf>

Youth Aging Out of Foster Care by Region

	Statewide	Region 1	Region 2	Region 3	Region 4	Region 5	Region 6	Region 7	Region 8	Region 9	Region 10	Region 11
2020	1256	69	59	259	81	27	251	151	236	27	12	84
2021	1235	74	64	251	62	33	222	177	215	43	15	79
2022	992	79	45	203	51	25	189	140	166	26	11	57
2023	858	62	55	173	49	30	161	111	126	18	18	55
2024	807	74	59	166	42	13	130	93	144	19	20	47
2025	740	51	40	169	36	17	118	81	143	12	17	56
Total	5888	409	322	1221	321	145	1071	753	1030	145	93	378

FYI Voucher Allocation by Region

FYI vouchers^a	641^b	25	18	85	12	16	134	160	53	17	41	57
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Currently, there are 641 Foster Youth to Independence (FYI) vouchers allocated to Texas.

^aTotal effective FYI voucher awards, as of November 2025

^bIncludes an additional 23 FYI vouchers allocated to Texas Department of Housing & Community Affairs

Committee on Intergovernmental Affairs – DFPS Region Affiliation

Chairman Cecil Bell – Region 6

Vice Chair Erin Zwiener – Region 7

Rep. Sheryl Cole – Region 7

Rep. Philip Cortez – Region 8

Rep. Cassandra Garcia Hernandez – Region 3

Rep. Terri Leo Wilson – Region 6

Rep. David Lowe – Region 3

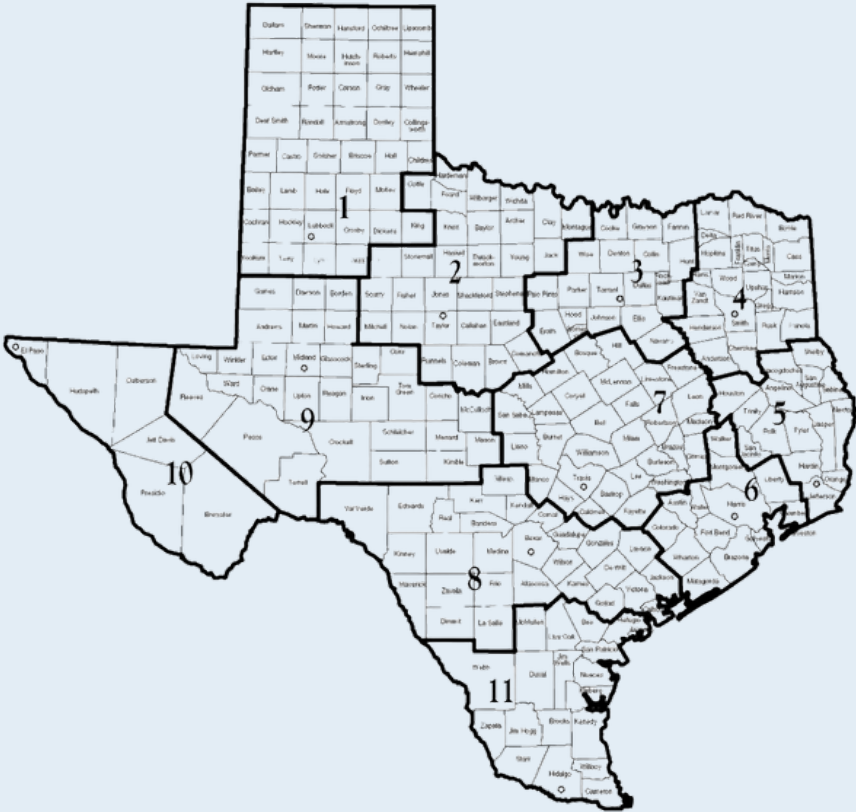
Rep. Shelley Luther – Regions 3, 4

Rep. Jon E. Rosenthal – Region 6

Rep. David Spiller – Regions 2, 3, 7

Rep. Carl Tepper – Region 1

Region Map



DFPS Region	Counties Represented	IGA Committee Affiliation
Region 1	Armstrong, Bailey, Briscoe, Carson, Castro, Childress, Cochran, Collingsworth, Crosby, Dallam, Deaf Smith, Dickens, Donley, Floyd, Garza, Gray, Hale, Hall, Hansford, Hartley, Hemphill, Hockley, Hutchinson, King, Lamb, Lipscomb, Lubbock, Lynn, Moore, Motley, Ochiltree, Oldham, Parmer, Potter, Randall, Roberts, Sherman, Swisher, Terry, Wheeler, Yoakum	Rep. Carl Tepper
Region 2	Archer, Baylor, Brown, Callahan, Clay, Coleman, Comanche, Cottle, Eastland, Fisher, Foard, Hardeman, Haskell, Jack, Jones, Kent, Knox, Mitchell, Montague, Nolan, Runnels, Scurry, Shackelford, Stephens, Stonewall, Taylor, Throckmorton, Wichita, Wilbarger, Young	Rep. David Spiller
Region 3	Collin, Cooke, Dallas, Denton, Ellis, Erath, Fannin, Grayson, Hood, Hunt, Johnson, Kaufman, Navarro, Palo Pinto, Parker, Rockwall, Somervell, Tarrant, Wise	Rep. Cassandra Garcia Hernandez Rep. David Lowe Rep. Shelley Luther Rep. David Spiller
Region 4	Anderson, Bowie, Camp, Cass, Cherokee, Delta, Franklin, Gregg, Harrison, Henderson, Hopkins, Lamar, Marion, Morris, Panola, Rains, Red River, Rusk, Smith, Titus, Upshur, Van Zandt, Wood	Rep. Shelley Luther
Region 5	Angelina, Hardin, Houston, Jasper, Jefferson, Nacogdoches, Newton, Orange, Polk, Sabine, San Augustine, San Jacinto, Shelby, Trinity, Tyler	
Region 6	Austin, Brazoria, Chambers, Colorado, Fort Bend, Galveston, Harris, Liberty, Matagorda, Montgomery, Walker, Waller, Wharton	Chairman Cecil Bell Rep. Terri Leo Wilson Rep. Jon E. Rosenthal
Region 7	Bastrop, Bell, Blanco, Bosque, Brazos, Burleson, Burnet, Caldwell, Coryell, Falls, Fayette, Freestone, Grimes, Hamilton, Hays, Hill, Lampasas, Lee, Leon, Limestone, Llano, Madison, McLennan, Milam, Mills, Robertson, San Saba, Travis, Washington, Williamson	Vice Chair Erin Zwiener Rep. Sheryl Cole Rep. David Spiller
Region 8	Atascosa, Bandera, Bexar, Calhoun, Comal, DeWitt, Dimmit, Edwards, Frio, Gillespie, Goliad, Gonzales, Guadalupe, Jackson, Karnes, Kendall, Kerr, Kinney, La Salle, Lavaca, Maverick, Medina, Real, Uvalde, Val Verde, Victoria, Wilson, Zavala	Rep. Philip Cortez
Region 9	Andrews, Borden, Coke, Concho, Crane, Crockett, Dawson, Ector, Gaines, Glasscock, Howard, Irion, Kimble, Loving, Martin, Mason, McCulloch, Menard, Midland, Pecos, Reagan, Reeves, Schleicher, Sterling, Sutton, Terrell, Tom Green, Upton, Ward, Winkler	
Region 10	Brewster, Culberson, El Paso, Hudspeth, Jeff Davis, Presidio	
Region 11	Aransas, Bee, Brooks, Cameron, Duval, Hidalgo, Jim Hogg, Jim Wells, Kenedy, Kleberg, Live Oak, McMullen, Nueces, Refugio, San Patricio, Starr, Webb, Willacy, Zapata	